CSIS CHINA PROGRAMS

China Daily Brief

Monday, November 2, 2026

2,368 words · 9 min read

RE: Xi hosts Oman's Sultan · Taiwan CGA harassment accusation · October PMI back in contraction · PBOC swap facility demand doubles

USD/CNY	SSE COMPOSITE	HANG SENG	BRENT
6.6368	3,638.03	23,393.32	$108.52
▼ -0.50%	▼ -0.28%	▲ +0.78%	▼ -5.90%

IN THIS ISSUE Top Stories · US-China · The World · Beijing · Markets · Statements · Analysis · Overnight · The Wire · Upcoming

TODAY AT A GLANCE

1. Xi Jinping hosted Oman's Sultan Haitham bin Tariq for the first state visit by an Omani head of state since the two countries established ties, and said the Gulf 'should not become an arena for great-power rivalry.'
2. Taiwan's Coast Guard Administration accused China Coast Guard vessels, including the Hushi and Meishan, of harassing shipping and asserting 'fictional jurisdiction' off Taiwan's east coast, where Beijing has patrolled regularly since June.
3. China's official manufacturing PMI fell to 49.3 in October, back into contraction, while the private Caixin gauge also showed growth losing momentum as export orders eased.

TOP STORIES

CROSS-STRAIT

Taiwan's Coast Guard Accuses China of Maritime Harassment

Taiwan's Coast Guard Administration said China Coast Guard vessels, including the Hushi (CCG 1308) and Meishan (CCG 2303), are harassing shipping off Taiwan's east coast and trying to exert a 'fictional jurisdiction,' dispatching the cutter Ji An to monitor the area. The CGA said China has run regular patrols off the east coast since June, which officials say may rehearse a maritime blockade using overlapping military, paramilitary and civilian assets.

AP NEWS; SHIP DETAIL PER TAIPEI TIMES

DIPLOMACY

Xi Hosts Oman's Sultan, Warns Gulf Must Avoid Great-Power Rivalry

Xi Jinping held talks with Oman's Sultan Haitham bin Tariq in Beijing, the first state visit by an Omani head of state since the two countries established ties 48 years ago. Xi said the Gulf region 'should not become an arena for great-power rivalry,' and Bloomberg said Hormuz Strait shipping security was a focus of the visit.

BLOOMBERG

PRC-ECONOMY

China's Factory Gauges Show Growth Losing Momentum in October

China's official manufacturing PMI fell to *49.3* in October, slipping back into contraction, while Reuters reported the private Caixin PMI also showed growth losing momentum as export orders eased. The readings point to a broader slowdown in factory activity after months of acceleration.

REUTERS

PLA

Four Chinese Survey Ships Suspected of Spying on Taiwan's Undersea Cables

Japan's Yomiuri Shimbun reported four Chinese vessels spotted near Taiwan since May, the Xiangyang Hong 22, Tongji, Jia Geng and a ship identified as Mushanzi, are suspected of gathering intelligence on undersea cables, citing geospatial firm ingeniSPACE and Taiwanese authorities. The Xiangyang Hong 22, operated by China's Ministry of Natural Resources, has repeatedly sailed off northern Taiwan since May with irregular course changes near international cable routes.

TAIPEI TIMES, CITING YOMIURI SHIMBUN

PRC-ECONOMY

China's Chemical Exports Surge, Threatening New Trade-War Front

Output of some key chemical ingredients has almost doubled over five years, the Financial Times reported, pressuring foreign rivals as Chinese producers flood global markets. The surge raises the

> prospect of fresh anti-dumping action from trading partners already contending with Chinese overcapacity in steel, solar and EVs.
>
> FT

OVERNIGHT

INDO-PACIFIC

AFP Debunks Video Falsely Tied to India-China Border Skirmish · AFP

AFP Fact Check found a viral video purporting to show a skirmish on the India-China border actually depicted a military drill in Karnataka, India. The clip had circulated widely online before AFP's verification debunked the claim.

DIPLOMACY

Beijing Urges Hong Kong to Recruit More Governance Talent · SCMP

Beijing's Hong Kong and Macau Affairs Office urged the city to improve how it nurtures and appoints governance talent with 'integrity and competence.' It said Hong Kong would gain more room to open up only once national security was firmly safeguarded.

TECHNOLOGY

Meta Briefs Hong Kong Privacy Watchdog on AI-Enabled Glasses · SCMP

Meta confirmed it met Hong Kong's privacy watchdog to discuss concerns over its AI-enabled smart glasses, days after the regulator warned the devices could enable covert recording. The glasses went on sale amid mounting international scrutiny.

DIPLOMACY

Rome-Based Legal Body Opens First Overseas Office in Hong Kong · Nikkei Asia

A Rome-based international legal body opened its first overseas liaison office in Hong Kong as part of the city's push to position itself as a regional legal-services hub. No further expansion plans were disclosed.

TECHNOLOGY

China's Robot Makers Shift Focus From Movement to 'Brains' · Reuters

Reuters reported Chinese humanoid robot makers have mastered basic movement and are now racing to build the AI systems needed for machines to reason and adapt. The report frames this as the next competitive battleground beyond choreographed demonstrations.

PRC-ECONOMY

Hong Kong's IPO Momentum Cools Sharply in Fourth Quarter · SCMP

Hong Kong's IPO pipeline slowed since October with only three new listings, all closing below their offer prices, amid market volatility and tighter regulatory scrutiny. Industry players said a year-end rush could still secure a top-three global ranking for 2026.

US–CHINA

DIPLOMACY · REUTERS

China's Farm Purchases Lag Behind $17 Billion US Trade Pledge

Reuters reported China's purchases of US farm goods are lagging the *$17 billion*-a-year pledge made at the May 2026 summit between **Xi Jinping** and **Trump** in Beijing, part of a deal running through 2028. Beijing's buying pace has slowed in recent months, testing a commitment meant to help rebalance the bilateral trade relationship.

EXPORT CONTROLS · NYT

NYT: China Leverages Export Dominance in AI, Solar, Drone Tech Over Rivals

The New York Times reported Beijing is making it harder for other countries, including the US, to shed dependence on Chinese solar, drone and drug-making technology, extending a leverage strategy first visible in rare-earth export controls. The piece frames the strategy as a signal that China's industrial dominance extends well beyond rare earths.

MILITARY · WSJ

WSJ: Xi Erodes Decades of US Maritime Dominance

The Wall Street Journal reported **Xi Jinping** is changing decades of US dominance over the world's oceans, citing the expansion of China's naval and commercial shipping power. The piece places the shift within broader US-China strategic competition across the Indo-Pacific and beyond.

CHINA & THE WORLD

CROSS-STRAIT · REUTERS

Taiwan Says It Must Be 'Master of Its Own Maritime Information'

Taiwan said it must control its own maritime information as it faces continued Chinese pressure at sea, Reuters reported. The statement follows a string of Chinese coast guard patrols and survey-ship activity that Taipei says are testing its maritime sovereignty.

CROSS-STRAIT · TAIPEI TIMES

Taiwan Protests China's 'Discriminatory' APEC Invitation

Taiwan's Ministry of Foreign Affairs lodged a protest after China sent an APEC invitation that did not address Taiwan by its official 'Chinese Taipei' designation, an official said. China hosts the Nov 18-19 Shenzhen summit, and Taipei said it would protect its rights as a full and equal APEC member.

JAPAN · NIKKEI ASIA

Taiwan, Japan Explore Trade Pact Modeled on Taipei-London Deal

Japan and Taiwan are negotiating a broad trade pact modeled on the Taipei-London agreement, sources told Nikkei Asia. The talks come as Taipei seeks to diversify trade ties and deepen economic links with Tokyo.

MIDDLE EAST · REUTERS

Wang Yi Pushes Dialogue With Iran to Resolve Middle East Conflict

Wang Yi met Iran's deputy secretary of the Supreme National Security Council, Ali Bagheri Kani, in Beijing and pushed for dialogue to resolve the Middle East conflict, Reuters reported. Wang said China supports Iran's efforts to safeguard its sovereignty and security.

INDIA · BLOOMBERG

China's Giant Tunnel-Boring Machines Pose Trade War Risk to India

Bloomberg reported Chinese manufacturers of 5,000-ton tunnel-boring machines are undercutting local and foreign rivals on price in India. The report frames the machinery exports as another front in China's industrial-overcapacity push into infrastructure equipment markets.

KOREA · YONHAP (CHINESE)

Daegu Court Hears Case of Chinese Student's Murder in South Korea

A Daegu court began hearing the case of Zheng Changsheng, a Chinese national charged with murdering a Chinese exchange student in South Korea, Yonhap reported Nov 2. His defense said he admitted to all charges, including murder, dismembering and concealing the body, and obstructing official duties.

LATIN AMERICA · MND (CHINESE)

Xi, Peru's President Exchange Messages on 55th Anniversary of Ties

Xi Jinping and Peruvian President Keiko Fujimori exchanged congratulatory messages marking 55 years of China-Peru diplomatic relations, China's defense ministry website reported Nov 2.

AFRICA · MND (CHINESE)

PLA Navy Hospital Ship Visits Togo

China's Navy hospital ship Jixiang Fangzhou (Auspicious Ark) visited Togo, the Ministry of National Defense said Nov 2, without further details in today's dispatch.

STAT OF THE DAY

¥100B+

Demand for PBOC's third securities-sector swap facility operation

31 brokerages and fund firms applied for over ¥100 billion in the PBOC's SFISF swap operation set for Nov 3, more than double the ¥50 billion and ¥55 billion raised in the tool's first two rounds in Oct 2024 and Jan 2025.

Caixin

ECONOMY & BUSINESS

AUTO / BYD · BLOOMBERG

BYD Posts Higher Sales for Sixth Straight Month on Exports

Bloomberg reported BYD posted higher sales for a sixth straight month in October, driven by exports, with shares gaining on the results.

TECH · BLOOMBERG

Hong Kong Chip IPOs Draw on Overlapping Investor Networks

Bloomberg reported Hong Kong's recent run of chip-sector IPOs draws on overlapping investor networks and company bosses' personal connections.

MACRO / LOMBARD ODIER · CNBC

Lombard Odier Sees 'New China' Value Emerging in Frontier Tech

Lombard Odier's John Woods said he sees emerging pockets of value in 'New China,' particularly frontier technology sectors backed by strong government support.

MANUFACTURING · BLOOMBERG

Chinese Steel Group Chides Mills for Ignoring Output Curbs

Bloomberg reported a Chinese steel industry group criticized mills for ignoring calls to curb output amid persistent overcapacity concerns.

FINANCE / HSBC · REUTERS

HSBC to Open Hong Kong AI Institute Following Singapore Launch

HSBC will open an AI Institute in Hong Kong following a similar launch in Singapore, Reuters reported Nov 2.

WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · MONDAY, NOVEMBER 2, 2026

中国人民银行 · PEOPLE'S BANK OF CHINA · *PBOC (institutional announcement)*

Launches third SFISF swap facility operation

The PBOC will conduct a one-year securities, funds and insurance companies swap facility (SFISF) operation on Nov 3; 31 institutions applied for over ¥100 billion, exceeding the ¥50 billion and ¥55 billion raised in the tool's first two rounds.

→ PBOC/Caixin ↗

中国人民银行 · PEOPLE'S BANK OF CHINA · *PBOC (institutional announcement)*

Conducts ¥541 billion overnight reverse repo as policy-rate anchor shifts

The central bank executed a ¥541 billion overnight reverse repo operation as it begins transitioning its primary policy-rate benchmark to the overnight repo rate, Chinese financial media reported Nov 2.

→ PBOC ZH/China News Service ↗

外交部 · MINISTRY OF FOREIGN AFFAIRS · *Mao Ning, MOFA spokesperson*

Announces Gabonese President's first state visit to China

President Oligui Nguema will visit China Nov 3-7 at Xi Jinping's invitation; Xi will hold a welcome ceremony and talks, Li Qiang and Zhao Leji will meet him separately, and he will attend the ninth China International Import Expo in Shanghai.

→ MOFA/Xinhua ZH ↗

PERSONNEL CHANGES

Lin Tao (林涛) CONFIRMED
Xiamen Municipal Party Secretary
Lin Tao was elected Xiamen party secretary at the first plenary of the 14th Xiamen Municipal Committee on Nov 1, continuing in a post he has held since April 2026; he was promoted to Fujian provincial deputy party secretary in October while retaining the Xiamen post.
Succeeds: Cui Yonghui (崔永辉)

Liu Yandong DECEASED
Former State Council Vice Premier
Liu Yandong, a former State Council Vice Premier, has died, per a New York Times Chinese obituary; the piece said she was one of only six women to have served on the CCP Politburo.

NPC / POLITBURO WATCH

CCP CENTRAL COMMITTEE
Fifth Plenum communique draws scrutiny over 'inner-party democracy' language
China observer Willy Lam said the fifth plenum's communique contained unusually detailed discussion of 'democratic centralism' and inner-party democracy that amounts to veiled criticism of Xi Jinping's one-man rule, Taipei Times reported. The plenum followed a record number of party expulsions amid an intensified anti-corruption purge.

WHAT BEIJING IS SAYING

习近平 · XI JINPING · GULF REGION GREAT-POWER RIVALRY WARNING — FIRM · TO OTHER

Xi Jinping '· President

“The Middle East Gulf region must not become an arena for great-power rivalry and geopolitical conflict.”

中东海湾地区不应成为大国博弈和地缘冲突的角力场

Xi made the remarks during a state visit by Oman's Sultan Haitham bin Tariq, the first by an Omani head of state since the two countries established ties.

MND (Chinese)

王毅 · WANG YI · MIDDLE EAST CONFLICT DIALOGUE — CONCILIATORY · TO OTHER

Wang Yi '· Foreign Minister, CFAC Office Director

“The current conflict in the Middle East continues to drag on and spill over; dialogue and negotiation are the only way to resolve it.”

当前中东地区战事延宕、外溢扩散，对话谈判才是解决之道

Wang made the remarks meeting Iran's deputy Supreme National Security Council secretary Ali Bagheri Kani in Beijing on Nov 2.

Global Times (Chinese)

外交部 · MOFA · KOREAN PENINSULA ROOT CAUSES — ROUTINE · TO OTHER

Mao Ning '· MOFA spokesperson

“Per Sohu: hopes relevant parties face up to the root causes of the Peninsula issue and make efforts to safeguard regional peace and stability.”

Mao made the remarks at MOFA's Nov 2 regular press briefing.

MOFA presser (Chinese)/Sohu

外交部 · MOFA · GABONESE PRESIDENT'S STATE VISIT — ROUTINE · TO OTHER

Mao Ning '· MOFA spokesperson

“This visit marks President Oligui Nguema's first state visit to China since taking office.”

此次访问是恩圭马总统就任以来首次对中国进行国事访问

Mao announced the Nov 3-7 state visit at MOFA's Nov 2 regular press briefing.

People's Daily/Xinhua

WHAT OTHERS ARE SAYING

BLOOMBERG TV/HKEJ · NOV 2, 2026

Fred Hu (胡祖六) · CEO, Primavera Capital Group

"There's no inflation pressure, so China's central bank should have a lot of room to take much bolder actions than what we've seen so far."

Hu made the remarks the same day China's financial regulators were reported to be convening banks and brokerages to discuss market-support tools.

source

THE WIRE

PLA

MND (CHINESE)

China-Indonesia Counter-Terror Army Drill 'Sharp Blade-2026' Concludes

China and Indonesia concluded their joint army counter-terrorism training exercise, the Ministry of National Defense announced Nov 2.

DIPLOMACY

MOFA (CHINESE)

Vice FM Ma Zhaoxu Addresses G20 Foreign Ministers' Meeting

Vice Foreign Minister Ma Zhaoxu spoke at the first session of the G20 foreign ministers' meeting, per MOFA's published remarks.

MOFA/CHINA DAILY

MOFA Calls Lancang-Mekong Cooperation a Regional 'Golden Model'

MOFA called Lancang-Mekong cooperation the most dynamic and promising 'golden model' of regional cooperation, China Daily reported.

MOFA (CHINESE)/IFENG

MOFA Says China Has Dispatched Envoys to Middle East for Peace Talks

MOFA said China has sent multiple special envoys to the Middle East to press for peace talks and de-escalation.

TECHNOLOGY

GUANCHA

Chinese PCB Makers Said to Supply Majority of Nvidia AI Server Boards

A Guancha analysis said Chinese manufacturers supply roughly *65 percent* of the high-speed PCBs used in Nvidia's top AI server lines.

GUANCHA

Chinese Camera Lens Brands Gain Ground Against Sony, Nikon

Guancha reported Chinese lens makers such as Viltrox and Meike are gaining share in overseas reviews against Sony and Nikon.

UPCOMING

Nov 3 — **US midterm elections**
Control of Congress at stake; the outcome shapes the trajectory of China trade and sanctions legislation for the remainder of Trump's term.

Nov 3 — **Gabonese President Oligui Nguema's state visit to China (through Nov 7)**
His first state visit since taking office; Xi Jinping hosts welcome ceremonies and talks, with Li Qiang and Zhao Leji meeting him separately, and he attends the ninth China International Import Expo in Shanghai.

Nov 10 — **Busan-deal one-year suspensions set to lapse**
The BIS Affiliates Rule extension and China's October 2025 rare-earth export controls were suspended for one year from Nov 10, 2025; status after the deadline remains unconfirmed.

Nov 18 — **APEC Economic Leaders' Meeting opens in Shenzhen**
China hosts the Nov 18-19 summit; Taiwan has formally protested Beijing's handling of its invitation, saying China omitted the 'Chinese Taipei' designation.

Nov 28 — **Taiwan nine-in-one local elections**
22 mayoral and magistrate races read as a mid-term referendum on President Lai Ching-te.

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CHINA DAILY BRIEF

Washington, D.C.

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